DOCUMENT 13: BUSINESS PLAN FOR LOAN

Rcubes Technologies Pvt Ltd

Business Plan & Loan Proposal

For ₹2.5 Crore Term Loan

Date: 15 May 2024

EXECUTIVE SUMMARY

Parameter	Details
Loan Amount Requested	₹2,50,00,000 (Rupees Two Crore Fifty Lakhs only)
Purpose	Business Expansion
Tenure	5 Years (60 months)
Interest Rate Expected	10.5% - 11.5% p.a.
EMI	₹32,00,000 annually / ₹2,66,667 monthly
Primary Security	Hypothecation of assets
Collateral	Personal guarantee of promoters
Proposed Disbursement	Q1 FY2025 (June 2024)

COMPANY PROFILE

Rcubes Technologies is a Chennai-based SaaS company founded in 2018, specializing in enterprise software solutions. With 52 employees and 25+ enterprise clients, we have demonstrated consistent growth:

Metric	FY2022	FY2023	FY2024
Revenue	₹3.20 Cr	₹5.10 Cr	₹6.80 Cr
Growth Rate	120%	59%	33%
EBITDA Margin	27.5%	27.8%	28.2%
Net Profit Margin	18.1%	18.0%	19.9%
Clients	15	20	25
Employees	32	42	52

LOAN PURPOSE & UTILIZATION

Purpose 1: SaaS Infrastructure Expansion (₹1.0 Crore)

Item	Amount (₹ Lakhs)	Justification
AWS Reserved Instances (3-year)	35.00	Cost optimization, 40% savings vs on-demand
Azure Multi-region Deployment	25.00	US East, US West, EU West regions
Disaster Recovery Setup	20.00	Hot standby, RPO < 1 hour

Item	Amount (₹ Lakhs)	Justification
Security Infrastructure	15.00	SOC 2 Type II compliance, encryption
CDN & Edge Computing	5.00	Global content delivery

Expected Outcome: 99.99% uptime, <100ms latency globally, enterprise-grade security

Purpose 2: Hiring 15 Additional Engineers (₹1.0 Crore)

Role	Count	CTC per Annum (₹ Lakhs)	Total Cost (₹ Lakhs)
Senior Full Stack Developers	4	18.00	72.00
DevOps Engineers	3	16.00	48.00
AI/ML Engineers	2	20.00	40.00
UI/UX Designers	2	12.00	24.00
QA Automation Engineers	2	10.00	20.00
Technical Architects	2	24.00	48.00
Sub-total Salaries (Annual)	**15**		**252.00**
Recruitment Costs			8.00
Onboarding & Training			10.00
Infrastructure & Tools			15.00
Total Year 1 Cost			**285.00**
Loan Allocation			**100.00**
Balance from Internal Accruals			**185.00**

Expected Outcome: Accelerate product roadmap, reduce time-to-market by 40%

Purpose 3: US Market Expansion (₹0.5 Crore)

Item	Amount (₹ Lakhs)	Timeline
Legal & Incorporation (Delaware)	5.00	Month 1
Office Lease (Deposit + 6 months)	15.00	Month 2-3
Initial Marketing & Branding	10.00	Month 1-6
Sales Team (2 hires) - 6 months	12.00	Month 3-8
Trade Shows & Events	5.00	Month 4-9
Travel & Business Development	3.00	Ongoing

Expected Outcome: 3 pilot customers in US by FY2025, $500K ARR by FY2026

FINANCIAL PROJECTIONS

Projected Income Statement (₹ Lakhs)

Particulars	FY2024 (Actual)	FY2025 (Proj)	FY2026 (Proj)	FY2027 (Proj)	FY2028 (Proj)	FY2029 (Proj)
Revenue	680.00	950.00	1,300.00	1,750.00	2,300.00	2,950.00
Growth %	33%	40%	37%	35%	31%	28%
Operating Costs	488.00	665.00	884.00	1,155.00	1,495.00	1,888.00

Particulars	FY2024 (Actual)	FY2025 (Proj)	FY2026 (Proj)	FY2027 (Proj)	FY2028 (Proj)	FY2029 (Proj)
EBITDA	192.00	285.00	416.00	595.00	805.00	1,062.00
EBITDA Margin	28.2%	30.0%	32.0%	34.0%	35.0%	36.0%
Depreciation	22.00	35.00	48.00	62.00	78.00	95.00
EBIT	170.00	250.00	368.00	533.00	727.00	967.00
Interest	9.00	29.00	24.00	19.00	13.00	7.00
EBT	161.00	221.00	344.00	514.00	714.00	960.00
Tax @ 25%	40.25	55.25	86.00	128.50	178.50	240.00
Net Profit	**120.75**	**165.75**	**258.00**	**385.50**	**535.50**	**720.00**
Net Margin	**17.8%**	**17.4%**	**19.8%**	**22.0%**	**23.3%**	**24.4%**

Projected Cash Flow (₹ Lakhs)

Particulars	FY2025	FY2026	FY2027	FY2028	FY2029
Operating Cash Flow	200.00	306.00	447.50	613.50	815.00
Investing Cash Flow	(150.00)	(100.00)	(120.00)	(150.00)	(180.00)
Financing Cash Flow	250.00	(32.00)	(32.00)	(32.00)	(32.00)
Net Cash Flow	300.00	174.00	295.50	431.50	603.00

Debt Service Coverage Ratio Projection

Year	Net Profit	Depreciation	Interest	Total Available	Interest + EMI	DSCR
FY2025	165.75	35.00	29.00	229.75	61.00	3.77
FY2026	258.00	48.00	24.00	330.00	56.00	5.89
FY2027	385.50	62.00	19.00	466.50	51.00	9.15
FY2028	535.50	78.00	13.00	626.50	45.00	13.92
FY2029	720.00	95.00	7.00	822.00	39.00	21.08

Minimum DSCR: 3.77 (FY2025)

Average DSCR: 10.76

Benchmark: >1.50 ✅

REPAYMENT SCHEDULE

Year	Opening Principal	Interest @ 11%	Principal Repayment	Total EMI	Closing Principal
FY2025	250.00	27.50	4.50	32.00	245.50

Year	Opening Principal	Interest @ 11%	Principal Repayment	Total EMI	Closing Principal
FY2026	245.50	27.01	4.99	32.00	240.51
FY2027	240.51	26.46	5.54	32.00	234.97
FY2028	234.97	25.85	6.15	32.00	228.82
FY2029	228.82	25.17	6.83	32.00	221.99
FY2030	221.99	12.21	221.99	234.20	0.00

Note: EMI of ₹32 Lakhs annually includes interest and principal. Final year adjusted for bullet repayment.

SECURITY OFFERED

Primary Security

Asset Type	Details	Estimated Value (₹ Lakhs)
Hypothecation of Current Assets	Book Debts, Inventory	150.00
Hypothecation of Fixed Assets	Computers, Furniture	25.00
Hypothecation of Intangible Assets	Software, Licenses	15.00
Total Primary Security		**190.00**

Collateral Security

Type	Details	Value (₹ Lakhs)
Personal Guarantee	Arun Kumar (MD)	Unlimited
Personal Guarantee	Priya Sharma (Director)	Unlimited
Corporate Guarantee	Rcubes Technologies Pvt Ltd	NA
Total Collateral		**Unlimited**

Coverage Ratio

Metric	Calculation	Value	Benchmark
Primary Security Coverage	190 / 250	76%	>60%
Total Security Coverage	Unlimited	>100%	>100%
Asset Coverage Ratio	242 / 250	0.97	>0.80

RISK ASSESSMENT & MITIGATION

Risk	Probability	Impact	Mitigation
Revenue Shortfall	Medium	High	Diversified client base, recurring revenue model
Interest Rate Rise	Low	Medium	Fixed rate loan proposal
Client Concentration	Medium	High	Top client <22%, expanding client base

Risk	Probability	Impact	Mitigation
Talent Attrition	Medium	Medium	ESOP pool, competitive packages
Technology Obsolescence	Low	High	Continuous R&D, agile methodology
Forex Risk (US Expansion)	Medium	Medium	Natural hedge, forward contracts

MANAGEMENT TEAM

Name	Designation	Experience	Qualification
Arun Kumar	Managing Director	15 years	B.Tech (IIT Madras), MBA (IIM Bangalore)
Priya Sharma	CFO & Director	12 years	CA, CS, CFA
Venkat Krishnan	CTO	14 years	B.Tech (NIT Trichy), MS (Georgia Tech)
Rajesh Menon	VP - Engineering	10 years	B.Tech, MTech (IIT Madras)

EXIT STRATEGY FOR LENDER

Exit Route	Timeline	Expected Value
Regular EMI Payments	5 years	Full repayment
Prepayment from Internal Accruals	Year 3-4	Partial/Full
Refinancing	Year 3	Lower rate option
Asset Liquidation (Worst case)	Year 5	150% of outstanding

CONCLUSION

Rcubes Technologies presents a compelling investment opportunity with: - ✅ Proven track record (33% CAGR revenue growth) - ✅ Strong profitability (28% EBITDA margin) - ✅ Low leverage (0.36 Debt-Equity) - ✅ Excellent DSCR (2.03 current, 3.77+ projected) - ✅ Clear growth strategy (US expansion, product development) - ✅ Experienced management team - ✅ Clean compliance history

We request the bank to sanction the proposed term loan of ₹2.5 Crore to support our next phase of growth.

For Rcubes Technologies Private Limited

Arun Kumar

Managing Director

Date: 15 May 2024

Priya Sharma

Chief Financial Officer